AP Business with Personal Finance

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Token of Trust

In 2012, Darrin Edelman nearly fell for a scam. He was scouring Craigslist, a website that connects buyers and sellers of various products, to find an apartment in Boston. He found a dream sublet① in a great location that fit his budget, and he contacted the individual offering the apartment. But before he sent his deposit, Edelman realized he should verify the seller's identity to ensure the deal was legitimate.

Unfortunately, it was too good to be true. He searched Google and social media, but Edelman could not verify the seller's identity or possession of the property using the information the seller shared online, which was limited because Craigslist allows anonymous listings. He walked away from the apartment, relieved that he hadn't lost money but frustrated by the lack of transparency and potential for fraud.

Edelman wondered why it was so difficult to verify a person's identity online to prevent fraud.

In 2011, consumer fraud affected more than 25 million American adults (Anderson 2013). Businesses were suffering as well. A global poll found that 75% of companies had fallen victim to some form of fraud within the previous 12 months (Kroll 2011). Edelman, who had a tech background, and his friend Austin O'Brion, who had experience in business growth, user experience, and digital marketing, decided to tackle the problem together.

Founding Token of Trust

Their vision was a product, a "token of trust," that would help consumers and businesses complete online transactions more safely. In their experience, there was no reliable, structured way to verify trustworthiness in online interactions such as hiring a babysitter, buying or selling furniture, or renting or subletting an apartment. Their company, Token of Trust (Figure 1), would provide this verification by confirming a party's identity through uploaded government documents (e.g., driver's licenses), metadata from uploaded photos (e.g., location data), and information searches of various websites (e.g., social media sites).

Edelman and O'Brion began hosting focus groups with potential customers to confirm their assumptions that online fraud and personal safety were significant concerns to

consumers. After they validated the problem, they developed a verification program to address the risk of online scams. Next, they validated their product idea by running an experiment on Craigslist where they posted the same items for sale two different ways: one advertisement with no seller verification and the other with the seller verified through Token of Trust. The items that included a link to a verified seller profile sold for approximately 20% more than comparable listings, convincing them that there was a market for their service. The question was, who should be their target customers : individual consumers paying for identity verification or businesses paying to authenticate customer identities and prevent hacker purchases?



Figure 1. Token of Trust website
Source: Used with permission

Business-to-Consumer Model

Edelman and O'Brion initially considered marketing directly to consumers, also known as business-to-consumer (B2C) selling. According to a Federal Trade Commission fraud survey, 10.8% of U.S. adults had fallen victim to at least one type of fraud in 2011 (Anderson 2013). The likelihood of fraud victimization was higher for those who made purchases online or by phone (Figure 2). Edelman already knew from personal experience how hard it was to verify an individual seller in those circumstances.

There was already an established B2C company, LifeLock, that offered a subscription service allowing individuals to provide a verified identity and check the verification of others they transacted with online. However, LifeLock faced concerning accusations of false advertising (Singel 2012), leaving a potential market opportunity.

The disadvantage of a B2C model was the significant time required to become profitable. At a $160 acquisition cost per customer, which Edelman and O'Brion estimated based on LifeLock's public financials, and a $10–11 per month subscription fee, it would take nearly 18 months before a consumer subscription model would break even.

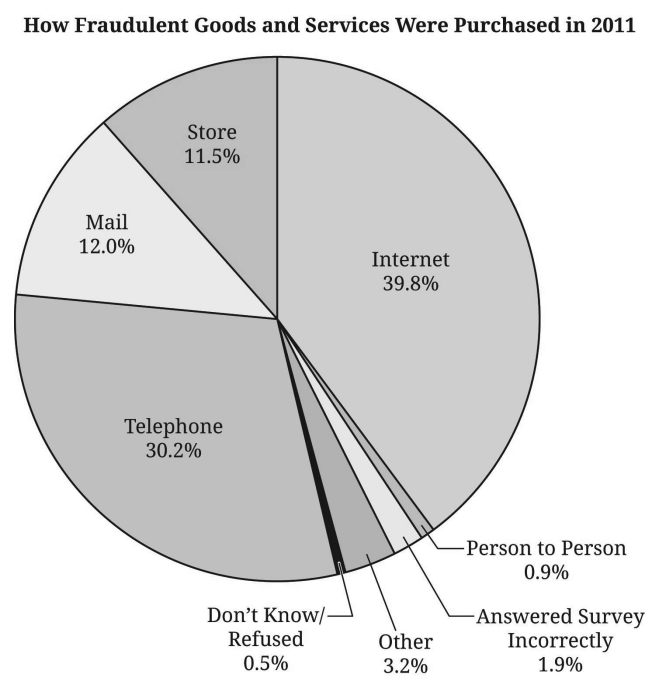


Figure 2. Consumer fraud, 2011
Source: Federal Trade Commission

Business-to-Business Model

Edelman and O'Brion collected additional data to evaluate a business-to-business (B2B) selling model, where they would instead target businesses as their customers. Businesses were already focused on fraud prevention; spending on cybersecurity surpassed $30 billion in 2011 (Statista 2015). According to the 2011 Kroll survey, "fraud cost companies 2.1% of earnings," and 26% of American businesses reported being affected by information theft, loss, or attack. Companies with fewer anti-fraud protections were at greater risk.

According to O'Brion, while large companies had extensive, sophisticated fraud prevention solutions, smaller businesses lacked affordable tools to integrate customer identity verification, making it easier for hackers to make unauthorized purchases using stolen personal data. This was a critical problem for them because fraudulent purchases are costly to businesses and decrease customer trust. Token of Trust could integrate directly into a small business's e-commerce platform without a large investment.

The estimated customer acquisition cost for B2B was higher than for B2C, at between $1,200 and $3,000, which was based on "anticipated costs of lead generation ②, sales outreach, demos, negotiations, onboarding ③, and relationship management," according to O'Brion. But initial pricing research and conversations with businesses revealed that Token of Trust could charge B2B customers more than individual consumers—as much as $500 per month for a base subscription plus additional fees—meaning they could break even in 2–6 months.

In addition, once businesses implemented and started using Token of Trust for identity verification, they would likely become repeat customers, creating a higher customer lifetime value. Businesses were entrusting their brands to the accuracy and expertise of Edelman and O'Brion's company, so they would want Token of Trust to succeed.

Based on their analysis of the evidence, Edelman and O'Brion decided to sell directly to businesses rather than customers. They believed the potential market was larger, as more and more commerce was moving online. Also, their research demonstrated that businesses could charge customers more for verified online purchases, which would incentivize businesses to hire Token of Trust.

Managing Big Data

Edelman and O'Brion still had one remaining challenge: what to do with the customer data Token of Trust was collecting as part of their identity verification process. Token of Trust was using demographic data, location data, and other forms of self-identification data to confirm a person's identity. They could also collect information on what consumers were purchasing and which marketplaces they were visiting, and how often. It was a valuable dataset.

Their clients would find this information very useful, as would non-client companies who could buy this information, adding another potential source of revenue. O'Brion confirmed this potential profit: "We did have prospective investors who were very intrigued by the amount of information that we were potentially [in possession of], and they had expressed a deep interest in investing with the potential of being able to sell that information at some point in the future."

But for Edelman and O'Brion, that would be problematic. Their mission was to make online transactions safer and more secure—and collecting, storing, and potentially selling large amounts of customer data might someday put customers more at risk and raise ethical concerns for the business.

In the end, they didn't take money from those investors. Instead, they encrypted the data in their system, making it "virtually impossible" for even Token of Trust or its clients to access it again. "We would never sell that information," O'Brion concluded, "I wouldn't participate in the company if that were the case."

Austin O'Brion was interviewed in 2025 by a College Board case author for this business case.

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